CREDIT PORTFOLIO REVIEW · EXECUTIVE SUMMARY

SBA 7(a) small-business loans, 1989–2014: where the risk was

882,533 loans · $170.2B approved · $11.4B lost

54%

of all losses came from loans approved in 2005–2008, which were only 21% of dollars lent

3

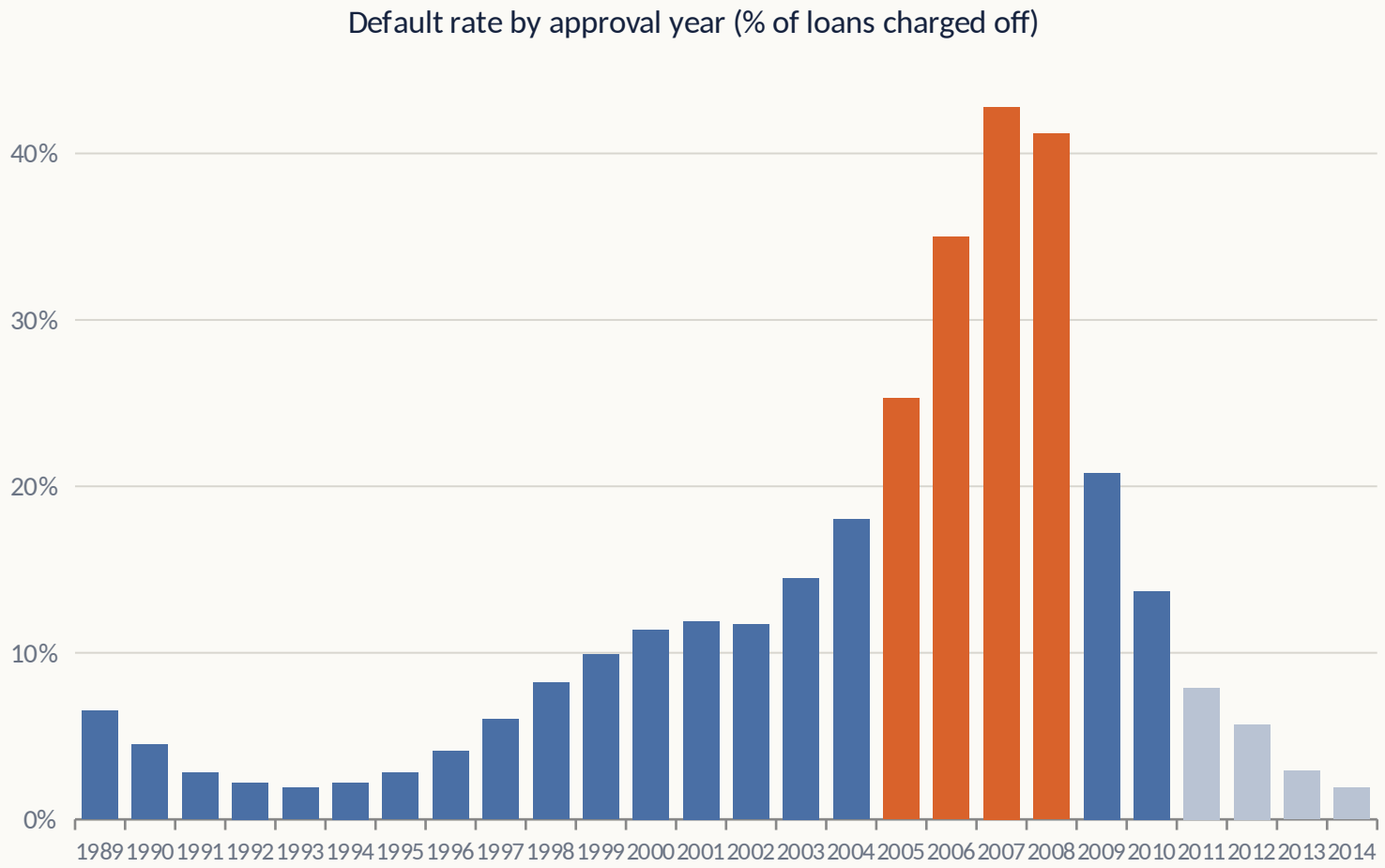
concentration limits breached: California, Retail Trade, and Accommodation & Food

3 years

of warning: the portfolio's own early-default signal turned red in 2007, before the 2010 loss peak

Bernard Frimpong · Source: U.S. SBA 7(a) loan data (via Kaggle), loans approved 1989–2014

Losses came from loans made at the top of the boom



54% of losses

came from 2005–2008 loans, which were only 21% of dollars lent

3.7× worse

2007 loans defaulted at 42.8%, against 11.4% for 2000 loans

8 years

for a vintage to show its result, so 2011–2014 loans are too young to judge

2005–2008: boom, then crisis

2011–2014: too young to judge

Default rate = % of loans charged off, by approval year (vintage). 882,533 loans, SBA 7(a), 1989–2014.

Three concentrations are over their limits

Group	Share	Risk index	Limit	Headroom	Status
California	19.9%	0.84	10.0%	−9.9 pts	Breach
Retail Trade	17.1%	1.18	15.0%	−2.1 pts	Breach
Accommodation & Food	17.0%	0.99	15.0%	−2.0 pts	Breach
Manufacturing	12.9%	0.75	15.0%	+2.1 pts	Watch
Texas	8.4%	1.04	10.0%	+1.6 pts	Watch

Retail and Accommodation & Food together hold **34.1%** of dollars, and both depend on consumer spending.

Losing more than their size

Florida: 5.5% of dollars, 8.8% of losses (risk index 1.59)

Construction: 6.7% of dollars, 9.1% of losses (1.35)

Michigan 1.39 · Georgia 1.30 · New York 1.27

Small loans fail more often

Loans under $50K: 32.4% defaulted, against 10.0% for $1M and over, **3.2× as often**

Loans approved 2001–2010. Risk index = share of losses ÷ share of dollars. Limits are example settings, not SBA or bank policy.

The portfolio’s own data warned three years early

Year	Portfolio signal	Economy signal	Charge-off rate
2006	Amber · 2.4× normal	Green	2.74%
2007	Red · 3.1× normal	Green	1.91%
2008	Red · 5.6× normal	Amber · +1.2 pts	4.36%
2009	Red · 10.5× normal	Red · +3.5 pts	4.82%
2010	Red · 12.3× normal	Green	**9.34% peak**

Portfolio signal: share of each new vintage charged off within 2 years, against the 2001–2003 average (0.63%). Economy signal: yearly rise in U.S. unemployment. Unemployment moved with losses (+0.80 correlation) rather than ahead of them (+0.67).

PEER BENCHMARK · KEYBANK

0.71

29% fewer defaults than other lenders on the same kind of loans

Same approval year, loan size and industry. The edge is in loans under $50K (0.58). Dollar losses were 5% below peers (loss index 0.95).

Thresholds: Amber from 2× normal or +1 point unemployment, Red from 3× or +2 points. Unemployment: FRED series UNRATE.

Five recommendations

1

Add the 2-year early-default signal to quarterly reporting

Amber when a new vintage fails 2× faster than normal, Red at 3×. It turned Red in 2007, three years before losses peaked.

2

Manage consumer-spending industries as one concentration

Retail and Accommodation & Food hold 34.1% of dollars and are both over their 15% limits. Set a combined limit and a plan to return within it.

3

Set a glide path for California

19.9% of dollars against a 10% limit, and its 3-year failure rate rose 8.9× in the boom, against 5.3× for Texas.

4

Price and underwrite small loans and hot spots for their risk

Loans under $50K default 3.2× as often as $1M+ loans. Florida, Georgia and Construction lose clearly more than their size.

5

Benchmark lenders like for like

Compare actual with expected defaults on the same year, size and industry. Comerica looks better than average on raw rates (0.94) but has 59% more defaults than peers (1.59).

Limitations: data ends in 2014; limits and signal levels are example settings, chosen with hindsight.